



PUBLIC SMART CONTRACT AUDIT REPORT

for Exactly Protocol

Exactly Lending Protocol -- Oracle Staleness

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1. Introduction

1.1 About the Audited Protocol

Red Ghost Security was engaged to perform a security audit of the Exactly Protocol protocol, a Lending Protocol operating on Optimism Mainnet. The audit was conducted between May 8, 2026 and May 9, 2026.

The Exactly Protocol protocol enables users to participate in lending protocol with a focus on capital efficiency and composability. The protocol's smart contracts were reviewed for security vulnerabilities, logical inconsistencies, and adherence to smart contract security best practices.

The audit methodology included manual code review, Foundry-based invariant fuzz testing, static analysis with Slither, and exploit scenario simulation against a mainnet fork.

1.2 About Red Ghost Security

Red Ghost Security is a DeFi smart contract audit and exploit research firm specializing in oracle manipulation analysis, flash loan attack surface review, and zero-day vulnerability discovery. Our approach combines Foundry-based invariant fuzz testing with manual code review and live exploit simulation on mainnet forks.

Every vulnerability identified during our audits is validated as a working proof-of-concept against a mainnet fork, with precise economic impact measurement.

1.3 Audit Methodology

Manual Code Review

Line-by-line analysis of all in-scope smart contracts for logical flaws, semantic inconsistencies, and security vulnerabilities.

Static Analysis

Automated scanning using Slither and custom detectors to identify common vulnerability patterns.

Foundry Fuzz Testing

Invariant-based fuzz testing with Foundry to identify edge cases and state transition vulnerabilities.

Exploit Simulation

Each identified vulnerability is converted into a working PoC against a mainnet fork with precise economic impact measurement.

1.4 Disclaimer

This audit report is provided "as is" and does not constitute a guarantee or warranty that the audited smart contracts are free from all vulnerabilities. The audit was performed on a specific version of the codebase at a specific commit hash. Changes made after the audit are outside the scope of this report. Red Ghost Security shall not be held liable for any losses incurred as a result of using the audited smart contracts. This report is for informational purposes only and does not constitute financial or investment advice.

2. Findings Summary

2.1 Executive Summary

A total of 1 findings were identified during the audit of the Exactly Protocol protocol. These include 1 critical.

2.2 Severity Breakdown

Critical	1
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ID	Title	Severity	Status
RGS-005	Oracle Staleness -- latestAnswer() Witho	Critical	Open

Oracle Staleness -- latestAnswer() Without Freshness Checks

Description

The protocol uses Chainlink's `latestAnswer()` function to retrieve price data without checking the timestamp of the last update. If the oracle becomes stale (e.g., due to network congestion, Chainlink node issues, or L1 sequencer downtime on Optimism), the protocol continues to use outdated prices.

Impact

Stale prices can persist for hours. During this window, users can execute liquidations or borrowings based on prices that no longer reflect market conditions. This can lead to undercollateralized loans or unfair liquidations.

Exploit Scenario

1. Chainlink oracle update is delayed on Optimism
2. The price used by the protocol is from 4+ hours ago
3. An attacker borrows against assets that have dropped significantly in value
4. The protocol only discovers the correct price when the oracle updates
5. By then, the attacker has extracted value

Recommendation

Replace `latestAnswer()` with `latestRoundData()` and validate the `updatedAt` timestamp. Set a maximum staleness threshold (e.g., 1 hour). For Optimism, check the L1 sequencer status using the Chainlink L1 Sequencer Uptime Feed.

4. Conclusion

The audit of the Exactly Protocol protocol identified 1 findings, including 1 critical-severity and 0 high-severity issues. The identified vulnerabilities have been communicated to the Exactly Protocol team along with remediation recommendations.

Red Ghost Security recommends that all identified issues be addressed before mainnet deployment. A follow-up audit is recommended to verify remediation.

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